

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No.: 16-16

MAVL CAPITAL, INC.,
IAM & AL GROUP INC., and MAXIM OSTROVSKIY,

Complainants,

– vs. –

MARINE TRANSPORT LOGISTICS, INC. and DIMITRY ALPER,

Respondents.

**COMPLAINANTS’ RESPONSE TO RESPONDENTS’
MOTION IN THE GUISE OF A “RESPONSE” TO A STATUS REPORT**

Pursuant to FMC Rules, 69, and 71, Complainants hereby respond to respondents’ September 12, 2017 motion in the guise of a “response” to a "status report." As the so-called “response” seeks relief from the Commission, FMC Rule 69(a); 46 C.F.R. 502.69(a) mandates that it be made as a motion. The instant frivolous motion is simply part of respondents’ baseless attempt to impugn the undersigned on irrelevant matters in order to misdirect attention from their having made duplicitous representations both before the Commission and a Federal Judge regarding the so-called “lien” pursuant to which they unlawfully exported and sold complainants’ cargo.¹

¹ As explained in Complainants’ Exceptions to the Presiding Officer’s Initial Decision of January 17, 2017, respondents herein have alleged in the in the matter of MAVL Capital Inc. et al. v. Marine Transport Logistics Inc. et al., U.S.D.C. E.D.N.Y Docket No.: 1:13-cv-07110, that complainants’ cargo was sold pursuant to Clause 15 of the MTL’s Bill of Lading for unpaid freight and other charges allegedly owed by complainants. See, Complainants’ Exceptions (Document # 20) at p. 21. In the instant proceeding, respondents have now pivoted with respect to the nature of the purported “lien” (which the Presiding Officer referred to in the ID as a “warehouse lien”) and which respondents now argue is a “non-maritime lien”. See, Respondent Marine Transport Logistics, Inc.’s Reply to Complainants’ Exceptions to the January 17, 2017 Initial Decision (Document # 22) at p. 3.

Shorn of its calumny and unsupported scurrilous statements - which constitute the bulk of the filing – the brief remainder is simply a clumsily-constructed house of cards, and like castles made of sand, respondents’ artificial edifice is easily washed away. As just one small example of the depths to which respondents will stoop, respondents have apparently taken the position that their duplicitous representations to the Commission and to a Federal Judge is “nothing of consequence or relevance”. See, Respondents’ September 12, 2017 filing (Document # 34) at p. 2.

In the first instance, the Commission is respectfully asked to note that respondents’ 'Response' is actually a motion by respondents inasmuch as it asks the Commission for affirmative relief on the last page, to wit: "***...that the Commission disregard Complainants' prior "Status Reports" and, as the Commission deems necessary, Respondents further respectfully request that Complainants require Complainants to cease their disruption of the orderly resolution of Complainants' Exceptions.***" See, Id. at p. 4. The Commission is further respectfully asked to note that Initial Order issued in this matter on August 16, 2016 (Document # 4) clearly states that: “[a]ny request for action by the Commission...must be made by motion...”.

The Commission is additionally asked to note that to the extent that respondents have requested the aforestated affirmative relief, they have failed to meet a condition precedent for such relief. Respondents’ motion is indisputably a *non-dispositive* motion, as it is not a "motion for a final determination of all or part of [this] proceeding." Rule 69(g). Proceedings regarding such motion are thus governed by Rule 71. Rule 71(a) mandates that (i) "[before filing a non-dispositive motion, as defined in 502.69(g)[,] the parties *must* attempt to discuss the anticipated motion," and (ii) "[t]he moving party *must* state within the body of the motion what attempt was made or that the discussion occurred and whether the motion is opposed."

Respondents do not aver within the body of the motion or otherwise that they made any attempt to confer prior to filing the motion requesting the relief stated above, and in fact they made no such effort.

The first time the undersigned heard anything about this non-dispositive motion was as a copy recipient on the email filing with the Secretary of the FMC. As respondents have made no effort whatsoever to confer before filing the instant motion, it could, and should, be dismissed for failure to comply with the condition precedent expressly set forth in the FMC's Rules. We go on, however, to show that even if the Commission were to overlook the requirement or if the respondents were to re-file their motion after compliance with the Rules, respondents have flat-out failed to provide any grounds that would justify the relief requested by respondents.

The FMC Rules require that any motion state, *inter alia*, the "purpose" of the relief being requested, the "authority" relied upon, and the "facts claimed to constitute the grounds supporting the relief requested." Rule 69(e). Respondents' motion does none of these.

Respondents do not deign even to give a reason why their instant requested relief should be granted. Instead, they timidly suggest that complainants' Status Reports of September 6, 2017 and June 21, 2017 "...are improper attempts to conduct further unrequested briefing of the pending Exceptions." While respondents have argued that complainants are seeking to "have the last word" with respect to the Exceptions, the Commission is asked to note that respondents are incorrect in their notion that status reports must be requested by the Commission. Certainly, whether requested or not, they are a way to advise the Commission of developments where no relief is requested.²

² See, Respondents' Reply to Complainants' Motion for Who Knows What (Document # 110) on FMC Docket No.: 15-11, at p. 2, referring to a May 3, 2016 Email from the FMC Office of Administrative Law Judges explaining that "...all filings should be in the form of a status report or a motion if requesting action."

In essence, by arguing that complainants are seeking to have multiple ‘bites at the apple’, what respondents are *actually* telling the Commission is that the Commissioners should ‘sit in the corner and eat their apple quietly’ and ignore respondents’ continued pattern of lies, deceit, and fraud upon a Federal Tribunal and the Federal Courts.

Suffice it to say, and contrary to the representations made by respondents, both of complainants’ Status Reports of September 6, 2017 and June 21, 2017 are clearly geared towards apprising the Commission as to recent developments in the ongoing related Federal litigation involving the parties in the instant matter, no more, no less. Complainants’ purpose in doing so is for the Commission to be fully informed as to the duplicitous representations made by respondents (regarding “maritime lien” v. “warehouse lien” as set forth above) and other misrepresentations as complainants may continue to uncover same (such as the fake ‘Copart’ invoices created by respondents). See, Complainants’ Status Report of September 6, 2017 (Document # 32) at p. 3.

Notably, and with respect to respondents’ argument (if it can reasonably be construed as such) that “...the issue before the Commission is not and never has been whether MTL was acting as a NVOCC on a contract of carriage for ocean transportation” and that “[i]t is the contract of carriage between MTL and Complainants, or lack thereof in this case, that required the partial dismissal of Complainants’ claim...” that argument can summarily be disregarded as the ‘law according to Eric Chang’. It is respectfully submitted that respondents’ representation in Federal Court as stated in footnote “1” above and in complainants’ Exceptions, to wit: that complainants’ cargo was sold pursuant to Clause 15 of the MTL’s Bill of Lading for unpaid freight and other charges allegedly owed by complainants, said representation squarely places the issue of “...whether MTL was acting as a NVOCC on a contract of carriage for ocean transportation” before this Commission.

The Commission is respectfully reminded that in the Initial Decision in the matter of Igor Ovchinnikov et al. v. Michael Hitrinov et al., (FMC Docket No.: 15-11), wherein respondents sought dismissal of complainants' Shipping Act claims on the basis that respondents were not acting as NVOCC with respect to the shipment of complainants' cargo, but rather, were acting as a beneficiary cargo owner ("BCO"), the Presiding Officer commented on this issue and denied respondents' request for dismissal on the ground that it did not operate as NVOCC.³ Specifically, the Presiding Officer noted that "...MSC transported the cars by water pursuant to a service contract in which Empire represented that it was shipping cars as an NVOCC, not as an owner" and that given these facts, "...it is not appropriate to issue an initial decision on the pleadings finding that Empire did not operate as an NVOCC on the shipments of the cars claimed by Complainants." See, *Id.* at pp. 50-51.

It is respectfully submitted that inasmuch as respondents have alleged that complainants' cargo was sold pursuant to Clause 15 of the MTL's Bill of Lading for unpaid freight and other charges allegedly owed by complainants, the issue of whether MTL was acting as a NVOCC on a contract of carriage for ocean transportation for the cargo is indeed relevant.⁴ It is specifically noted that the ocean liner bill of lading⁵ for the export of complainants' Mercedes, a copy of which is annexed as Appendix "17" to complainants' Exceptions, is dated August 24, 2013, and that respondents' invoices for the "outstanding debt" pursuant to which said automobile was allegedly sold under a lien were dated August 16, 2013 and August 19, 2013 (with payment due thereon on

³ See, Initial Decision Granting Respondents' Motion for Judgment on The Pleadings dated March 9, 2017 (FMC Docket No.: 15-11) (Document # 152) at pp. 49-51.

⁴ If respondents herein had exercised a warehouse lien prior to shipping the automobiles overseas, then they would have been a BCO.

⁵ The ocean liner bill of lading lists MTL as the "forwarder". The Commission may *sua sponte* confirm with Maersk the capacity within which MTL operated with respect to this shipment.

August 26, 2013); (See, Complainants' Brief In Support Of Its' Exceptions To Initial Decision, at pp. 26-27).

Therefore, if MTL issued its house bill of lading for the export of the Mercedes *prior* to the date that monies were allegedly due and owing to respondents under the invoices (and for which respondents purport to have sold the Mercedes under the pretext of a lien) the conclusion drawn in the ID that this was a warehouse lien exercised *prior to shipment* simply does not make sense.

The Commission may recall that Complainant's Status Report of June 21, 2017 explained that defendants/third-party plaintiffs in the matter of *World Express & Connection, Inc. v. Crocus Investments, LLC et al. U.S.D.C. -- D.N.J. Docket No.: 2:15-cv-08126-KM-MAH*, which are represented by the undersigned, served a Subpoena for a Deposition upon Written Questions upon the ocean liner known as 'Maersk' which transported complainants' automobiles from the United States to Dubai and the direction and request of respondent herein, MARINE TRANSPORT LOGISTICS, INC. ("MTL").

Said Subpoena seeks to ascertain the capacity in which MTL shipped said vehicles to Dubai pursuant to MTL's service contract (to wit: SCV 644011) with Maersk. Upon information and belief, said service contract required that MTL certify to Maersk that it was either acting in the capacity of Beneficial Cargo Owner ("BCO") or as NVOCC with respect to all cargo shipped pursuant to the service contract.

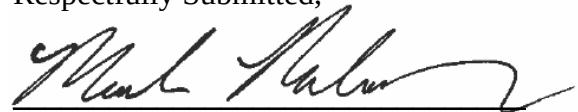
To the extent that Maersk's response to the subpoena reveals that MTL was acting in the capacity of NVOCC with respect to the shipment of the Mercedes and Porsche, that information will likely change the outcome and will be material to the Commission's forthcoming decision on the Exceptions filed by complainants in the instant matter, inasmuch as it may cut against any

finding as made by the Presiding Officer (as well as the respondents herein) that MTL had asserted a warehouse lien on said car *prior* to its shipment from the United States to Dubai and that it had allegedly owned the car (by conversion or otherwise) at the time of shipment, and consequently, that it was allegedly not acting as NVOCC and that no jurisdiction exists over complainants' claims herein.

In closing, for the reasons stated above, and inasmuch as respondents have: 1) sought affirmative relief from the Commission and have failed to meet a condition precedent for such relief by failing to confer with complainants prior to seeking same; and 2) failed to state the purpose of the relief requested in their instant and ill-founded motion, it is respectfully submitted that respondents' motion should be denied in its entirety.

Dated: September 19, 2017
Brooklyn, New York

Respectfully Submitted,

A handwritten signature in dark ink, appearing to read 'Marcus A. Nussbaum', written over a horizontal line.

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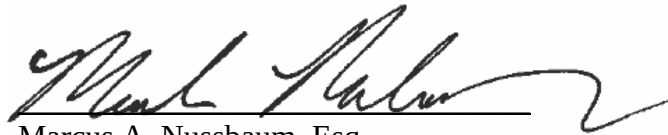
CERTIFICATE OF SERVICE

I hereby certify that I have this day served the **COMPLAINANTS' RESPONSE TO RESPONDENTS' MOTION IN THE GUISE OF A "RESPONSE" TO A STATUS REPORT** upon Respondents' Counsel at the following address:

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by first class mail, postage prepaid, and by email to: EChang@mmwr.com; svengrow@mmwr.com; and PeterCipparulo@cipplaw.com.

A handwritten signature in dark ink, appearing to read 'Marcus A. Nussbaum', is written over a horizontal line.

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Dated: Brooklyn, New York
September 19, 2017